



MIDWEST LIMITED

(Formerly known as Midwest Granite Private Limited)

May 30, 2026

To,
The Listing Department
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

To,
The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400051

Scrip Code: 544587

Symbol: MIDWESTLTD

Dear Sir / Madam,

Subject: Transcript of Earnings Conference call for the quarter and year ended March 31, 2026

We wish to inform you that pursuant to Regulations 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time, the transcript of the Earnings Conference call held on May 27, 2026, in relation to the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended March 31, 2026, is enclosed herewith.

The same is available on the website of the Company at <https://midwest.in/investors>.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For **Midwest Limited**

**KOLLAREDDY
RAMACHANDRA**

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“Midwest Limited
Q4 FY26 Earnings Conference Call”
May 27, 2026



MANAGEMENT: **MR. RAM KOLLAREDDY – PROMOTER, WHOLE-TIME DIRECTOR AND CHIEF EXECUTIVE OFFICER – MIDWEST LIMITED**
MRS. UMA KOLLAREDDY – PROMOTER AND WHOLE-TIME DIRECTOR – MIDWEST LIMITED
MR. DILIP KUMAR – CHIEF FINANCIAL OFFICER – MIDWEST LIMITED

MODERATOR: **MS. SANA KAPOOR – GO INDIA ADVISORS**

Moderator: Ladies and gentlemen, good day and welcome to the Midwest Limited Q4 FY26 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that, this conference is being recorded.

I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you, and over to you, ma'am.

Sana Kapoor: Thank you, Yusuf. Good afternoon, everyone and welcome to Midwest Limited's earnings call to discuss Q4 and FY26 performance. The financial results have been uploaded on the exchanges. I hope you have had the opportunity to view the same.

We have on the call Mr. Ram Kollareddy, Promoter, Whole-time Director and CEO; Mrs. Uma Kollareddy, Promoter and Whole-time Director; and Mr. Dilip Kumar, Chief Financial Officer. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the company faces.

May I now request Mr. Ram Kollareddy to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you and over to you, sir.

Ram Kollareddy: Hi. Thanks, Sana. Thanks everyone for joining the call. I would like to give a few updates which are strategic and which will influence the business over the next few years, which have happened over the last quarter or last year. And then Dilip will take on the financial numbers.

So, I think the most important updates for the last quarter are we got a new mining lease in Galaxy, a new concession Galaxy, a 30-year-old lease. And we have already started producing this and this is in revenue in the same quarter itself and we'll start building on additional production from this base.

Coming to that, in granite, the Galaxy demand remains strong in our local as well as Chinese markets. We have also started to add some new markets for export of blocks into Middle East in the last quarter. So, we don't see any issues on that front. And specifically, countries like Algeria and Egypt have started importing blocks which were otherwise importing slabs previously. That's an important update.

And since most of the granite is exported, I think we have a positive outlook on the dollar. We'll see how that plays out for the next year. On the fuel front, the cost basis, the maximum pressure will be on the fuel, but we are able to manage to some extent with our green EV initiatives and also that will be aggressively played in this year where we will be building up on our EV fleet and also going for captive solar as far as possible to contain the energy costs.

On the second development, as indicated in the last call, we have included the HPQ, High Purity Quartz, in the Phase 2, which we have started building up the plant now, starting this quarter and

I think we are in line to commission the plant in next 10 to 12 months. And the first products out of that plant will be the traditional engineered stone and solar.

The HPQ product may come a quarter after commissioning that plant. But we're excited about HPQ and we'll be one of the few companies producing HPQ globally, which will cater to the other industries like semiconductor, solar crucibles and all.

The other very important update last quarter, which is coming from the Rare Earths space, is we have been selected as a consortium partner by the Kerala Minerals and Metals Limited, KMMML. And we'll be starting to build a pilot plant starting this quarter. It's a six-month project and we have allocated a budget of close to INR20 crores to fund this.

And this is a very important milestone for the company, which will pave way for the next three or four years because for the first time a private company is getting into handling monazite Rare Earths and making Rare Earth oxides. And it's the first private partner relationship of its kind. And I think this is something that the company will build on using its know-how and capability and try to do similar projects in the next few years. So, these are the key critical updates from our side and we will address during Q&A most of it.

And I think Dilip will just run you over basic broad financials.

Dilip Kumar:

Yes. Just to start with, last quarter we have posted a consolidated revenue of INR215 crores. This major revenue is coming from the granite segment. Quartz in the last fiscal there were, I mean, though it has started, the initial technical issues we have stabilized. Now Quartz started producing the processed mineral.

Now coming to the EBITDA part of the last quarter, it is 27% against its sequential quarter of 23.7% and PAT number 17.16% against its sequential quarter of 13.48%. Overall number as for the year-end, INR645 crores is our revenue that we have posted and against its previous year number of INR626 crores, so 3% plus growth.

Especially though we have produced another 4,000 to 5,000 CBM, we couldn't convert that into sale due to the logistics issue which triggered in the last quarter, fag end of the last quarter. Otherwise, we could have added another INR25 crores top line. That's on the revenue front. And overall EBITDA, it is 27.01% compared to number of 27.43%. And the PAT number is 16.49% compared to number of 17.17%.

Here I'd like to give one update. As a granite standalone segment, if we look at these numbers, granite EBITDA stood at 27.55% against its previous year number of 27.43% and 17.47% in terms of PAT against its number of 17.17%. This consolidated number of 16.49% is majorly on account of some cost which is arising on account of Quartz, which is around INR6 crores. That will be stabilized in current year because the Quartz started production.

I think with that, the financial number of current year as well as the last quarter is we are pretty much in line with the previous year's numbers. And compared, if we look at debt-wise, overall we have reduced debt to the tune of INR50 crores. And working capital days we have reduced from 122 to 104 days. That's on the financials front.

Now we can take up the questions.

Ram Kollareddy:

Yes. I think just a quick update before the questions on the Quartz. So, Quartz we have started full production starting last month. And so the installed capacity of the plant was close to production of 250,000, 240,000 to 250,000 tonnes. I think our target this year is to reach sufficient capacity utilization. This quarter, every quarter-on-quarter there will be a growth there. And last month we have done close to 2,000 tonnes. And this month we'll be doing around 5,000 tonnes. And the next month we target to do around 10,000 tonnes. That's the target for this quarter.

But that number will keep improving quarter-on-quarter because the plant is stabilizing and most of the issues that we faced last year are resolved. And yes, that is where we are on Quartz. So, we have not delayed the build of Phase 2. We are parallelly starting that also so that we also aggressively from next year onwards we see numbers coming from that plant also, Phase 2. Yes, I think we are good to take questions.

Moderator:

Thank you very much, sir. We will now begin the question-and-answer session. First question is from the line of Jayam Birawat from Yes Securities. Please go ahead.

Jayam Birawat:

Hello. Thank you so much for the opportunity. Couple of questions from my end. Firstly, can you please state the reason for a drop in PAT on a Y-o-Y basis? And can you please explain in detail? And I also wanted to know what are the sustainable margins we should expect going forward?

Dilip Kumar:

See, we have two segments. If we look at the company, company traditionally is into granite production and sales, especially in the black. And last year, we have entered into Quartz production. Quartz is extracting mineral from the mines and then processing at our processing unit, then selling grit and powder to the Quartz industry as well as solar industry. That's the new segment that we have added in the last financial year.

So, if we look at granite as standalone numbers, we did the EBITDA stood at 27.55% and PAT at 17.47% against its comparative numbers of 27.43% and 17.17%. As a granite standalone, we are intact. In fact, we have improved marginally, I mean, in terms of various initiative, cost initiatives that we have taken to optimize those costs, especially converting fuel dependency to the renewable energy.

So, that's where marginal improvement, that improvement will be there in the coming quarters and years too for the next couple of years as we are aiming to shift our equipment from fuel-based to the renewable, that integrated with solar, especially on the dump trucks. So, that's on the granite.

If we look at granite as standalone, INR112 crores is a PAT that we have achieved. The negative contribution is on account of Quartz because there were initial glitches in the process that we have established in the last six months. That has contributed, that's the reason why the top line we couldn't achieve, then there are some costs, fixed costs and depreciation and finance costs, which took around INR6 plus crores which reduced the number of INR112 crores to INR106 crores. I hope I have addressed your point.

Going forward, granite margins will be very stable and if not improvement year-on-year. That's on the granite. Quartz, as explained by CEO, that's this year we'll be doing a substantial number from the production that we have, production capacities that we have in the processing unit. And we are also aggressively establishing the second phase plant.

So, coming years, Quartz numbers also will add in and it will have its own PAT and EBITDA. And the EBITDA what we are anticipating is comparatively better EBITDA on the granite also. So, that's the coming years will talk about it. I think if you have any further questions that I can answer.

Jayam Birawat: Okay. Okay. Yes, thank you for the detailed answer. Second question from my end is what is the contribution of your diamond wire segment to your top line and the bottom line?

Dilip Kumar: Yes. Diamond wire we did about INR25 crores against its comparative number of around INR16 crores. That's approximately 15% is the PBT that we have on this segment.

Jayam Birawat: Okay. For the top line, right? 15%.

Dilip Kumar: Yes, yes. No, no. Top line on the 15% PBT.

Jayam Birawat: Okay. Okay. And third question from my end is how is your second phase of Quartz expansion going on? And can you please help us with the capex for the same? And when do you expect the plant to be commissioned?

Ram Kollareddy: Second phase of capex, second phase of the plant we started build out in April and we started tendering some equipment. We have a plan to complete it in by Q4 of this year. And the capex is around INR130 crores, between INR125 crores and INR130 crores. That is the planned capex. And yes, what was the other question in this?

Jayam Birawat: And, -- yes, so that's it, so how was it going, and the capex, and when do you expect it to be commissioned? Q4, right?

Ram Kollareddy: Yes. So, once we start -- once we -- Q4 once we start, once we finish the commissioning, I think Q1 of next year we'll start seeing the numbers coming in from this Phase 2.

Jayam Birawat: Okay. Okay. Thank you so much.

Moderator: Thank you. Next question is from the line of Alok Deora from Motilal Oswal. Please go ahead.

Alok Deora: Good afternoon. Just had couple of questions. So, first is on the Quartz business. Now we have seen the plant just getting commissioned now. So, you mentioned briefly that month-on-month we'll see an improvement. But if we want to look at the year as a whole, this year, how much volumes we can do out of this 250 KT? And also the second phase which was also expected to be commissioned, a little earlier, would that also contribute anything in this year or would it be primarily the next year only?

Ram Kollareddy: Yes. So, I think our endeavour is to reach at least 60% of the rated capacity this year. And you'll see a quarter-on-quarter improvement, yes. There will be no contribution from Phase 2 because

Phase 2 will be commissioned only in Q4. So, that will start coming in on Q1 of the next quarter. But I think the post-commissioning, the production of Phase 2 will start immediately because it's an integrated plant. We will not take as much time as we took to stabilize on this plant. And there are a lot of learnings which have come from build out of Phase 1, which we're incorporating in Phase 2.

So, given that, the time between commissioning and production or stabilization will be very, very short in Phase 2. So, in Q1 next year, you should see quite decent numbers coming from Phase 2 added to the Phase 1. And technically, based on what we have seen, the peak production that can be achieved on the current phase also will be close 75% to 80%. So, out of that, I think 60% is what we are targeting this year.

Alok Deora: Got it. And also the Phase 1 was more for solar -- solar glass and then and a little bit on the engineered stone. So, what could be the revenue from this Phase 1 in this year? I mean, since it is more on the, so solar we would be having lower realization as compared to engineered stone. So, what's the realization we are getting currently and what could be translating to the revenue like?

Ram Kollareddy: So, no. So, the Phase 1 was predominantly built for engineered stone and solar was, I think the breakup was 70-30. The second phase was the flip. Now there are, now by adding HPQ in second phase, I think overall that yield also is going to increase. But anyway, talking about Phase 1, right now on the solar we are getting a price of INR7,000. And on the engineered stone it is graded. We have four grades. The range is between INR9,000 to INR14,500.

So, each customer depending on where he's addressing the market, if he's selling to US he may buy a premium one, if he's selling to Middle East a lower one. So, we have a big range of four or five quality ranges. So, between INR9,000 and INR14,500 on engineered stone and around the INR7,000, all these prices are ex-plant, INR7,000 is price for solar grade.

Alok Deora: Okay. And solar would be 30% in the first year.

Ram Kollareddy: Yes. So, what the plant is built for that and that is what it will produce.

Alok Deora: Okay. And in the, so by the end when both the phases are commissioned, it would be largely 50-50 is it?

Ram Kollareddy: 50-50 plus some HPQ. So, I think the breakup will, but HPQ volume is not large. That is a close to a 20,000 tonne, but the value is high. So, I think between these two products it will be close to 50-50 or 60-40. There is a flexibility of 60-40 either way in the plant. So, based on a year from now, based on how the market is behaving, where we have additional margins, I think we'll tweak it to get the best realization.

Alok Deora: Sure. Just one last question. So, in the first year when we are doing around 60% of the capacity, maybe like a 150 KT of volumes, right? So, I mean, what could be the margins like? I mean, is it a gradual improvement or would we be, or if you can just highlight on what the margins could be because the sense was that it would be higher than what we are making in the existing business. So, would that also materialize in the first year or for first year would be more like a,

catching up kind of a thing and then second year you'll see the full potential margin? Just if you could highlight on that, please.

Ram Kollareddy: Yes. So, there are fixed costs like as Dilip explained, one of the reason we had a negative impact on overall business from Quartz is because of fixed costs that we had last year. So, that fixed costs at certain stage they will get break-even. But I think all those will be taken care of that maybe at that when we reach that 60% mark.

So, I think there will be gradual improvement on that. But I once we cross the 60% reach around 70%, yes, we will be having healthier margins than what we are enjoying now. And the advantage being that we have leverage on raw material, then the scale and the location of the plant and -- and the dollar impact, all that I think it will be an improved one. But obviously when both the phases come, then it will be different number to look at altogether.

Alok Deora: Yes. Got it.

Dilip Kumar: Capacity utilization from 60% to the next level will definitely optimize the fixed costs and that will add up to the bottom line and the improvement will be there in the margins in the years to come.

Alok Deora: Got it. Yes, that's all from my side. Thank you and all the best.

Moderator: Thank you. Next question is from the line of Rushabh from RBSA Investment Managers. Please go ahead.

Rushabh Shah: Yes. Hi. Thank you for the opportunity. Firstly, I just want update on the heavy mineral sands in Sri Lanka. What is the status and when are we commissioning? Is there any delay, or if you just give an update on that?

Ram Kollareddy: Yes. Heavy mineral sands in Sri Lanka, there is no progress since last quarter. So, the government is, as discussed in last call, is coming out with a policy and there is a delay on their end and they're likely to close that sometime in June. And this policy is for the entire industry and the last policy was done decades earlier. And so given that, it's a reset of the entire system.

So, I think but there are certain positives coming out of the policy and they're making it more industry-friendly than before. So, I think that is a positive. I think we have to be a little more patient and I think we will see once the policy is closed this quarter, I think we will see lot of activity on the ground. But we're good to go on the ground that is on Sri Lanka. And given that, I think based on what we have seen in KMML and Kerala, I think India as a country is also moving fast and they want to activate lot of projects. So, our teams are busy studying certain geographies. Whenever there is something materialized, we'll keep you posted.

Rushabh Shah: Okay. And secondly, just, a question on the Monazite. Since you're pursuing Monazite, and I believe in certain areas, maybe in India, I'm not sure in Sri Lanka, but Thorium is a byproduct of that monazite. Is the understanding correct?

Ram Kollareddy: Monazite is a byproduct of beach sands. Yes.

- Rushabh Shah:** No, Thorium is a byproduct of monazite in the sense...
- Ram Kollareddy:** Yes Thorium is byproduct of -- yes, yes, Thorium is a byproduct of Monazite, correct.
- Rushabh Shah:** So, I'm just trying to understand that if, I mean, in terms see if India is going to go nuclear in a big way, so are we looking at thorium processing opportunities as well in the near future? How are we placed there and do we have access to such minerals?
- Ram Kollareddy:** So, right now the focus right now, the actionable points are on Rare Earth oxides. That is where the entire policy framework and the government pushes to get the Rare Earth oxides so we become self-sufficient in the Rare Earth space so we can produce our own permanent magnets to support the PLI units which are going to come up in India.
- Thorium, yes, India has lot of Thorium and when we are processing from monazite to Rare Earths, we also get Thorium. Now that Thorium is a product right now which the government has not given clarity yet on what they want to stockpile, they want to commercialize, there's no clarity yet. But that is there. That is there for the nation to build. But our ability to refine these oxides gives us the ability to refine Thorium as well.
- So, what the government is planning and where their policy is heading, I think we'll get clarity on next one year time, frankly. And but I think it's a once they do that, it's a big move for the commercial side of the industry.
- Rushabh Shah:** Okay. And just a clarification on the High Purity Quartz. I believe last time we mentioned that we are heading towards that achieving that highest form of purity that is required. So, in that so have we moved from the pilot scale, have we got customer approval, at what stage are we in that journey?
- Ram Kollareddy:** So, in so frankly, we have done our lab scale, we have identified the mines which can produce this, we have done the flow sheet. So, now we are building the first plant. Now based on the sampling we have done and based on the lab study reports, there is a gradation already set up in global standards. We're able to meet that. Technically, you don't need to specifically, though we have checked with couple of customers, this is a marketable product as it is as long as you're meeting those specs.
- Now the -- now if the it's like the commercial plant is coming with a large pilot as well because these are all batch processes. These are not continuous processes wherein we start the plant and you keep producing the same grade every day. So, since the quality requirement is going towards 30 PPM, 40 PPM, 20 PPM, and the raw material coming from the same mine also can vary from pocket to pocket.
- So, the way this is done is we send it to a pilot, get our internal check, then start the batch process. That's how we're building the 20,000 tonne plant at the end. So, given that, the metrics required are do you have raw material source qualifying? Yes. Do we have -- have we done enough lab work and sampling and bulk sampling? Yes. Are we meeting the specifications that a company like Sibelco has made globally for the last decades? Yes. So, I think pretty much today it's a demand thing. There is a lot of industry waiting for such a product.

Now obviously where the demand is coming from, today if you ask me, majority of the off-take will still be China. India is still maybe two to three years away by the time the market evolves here. So, as far as the China market is concerned, it is the crucible manufacturers. They know we are already in touch with them and they have already okayed to start taking this product right away.

And in fact, in this project, we are cutting down almost three layers for them. So, historically what used to happen is the raw material used to go to a trader, trader taking it to China, then the trader in China because of the long supply chains and these companies don't want to take a chance, they will take the product and then make the payment after production. So, there is a long lead of four, five months.

And then it goes to the let's say the end user who is let's say making these solar -- solar fab guys. So, today we're cutting down almost five to six months' time, and we're directly going to the supplier of solar panel manufacturer. So, given that, I think we are in a good position. And the idea is to get it right in next nine months and start production. And post that, we have a long way to go. So, our resource base is big on building on HPQ. We're starting with 20,000 tonnes, but I think we can ramp up quite fast and in a bigger size. So, I think but we'll take that call post commissioning this plant.

Rushabh Shah:

Okay. That's good to hear, sir. Sir, what will be the demand trends and pricing trends in the granite business for F 2027?

Ram Kollareddy:

So, we are sticking to our core products, Galaxy and Black. And historically, we have seen strong demand. I think this year also is going to remain the same. The only trend which has changed, which I would like to update last year or this year or last year is post tariffs, one of the things what has happened is lot of countries have suffered domestically in losing some industries.

So, they were looking at how to generate domestic employment and natural stone is one industry where you generate lot of employment, though for GDP impact could be very less, it will quickly absorb thousands of jobs. So, given that, for example, Egypt, I just mentioned in my narrative, in Egypt and Algeria are two countries we have seen aggressive buying of blocks which they were buying slabs otherwise.

Now this is a direct sale to us. Otherwise, it was going to our customers and they were catering to this market. So, that market repositioning is happening. The advantage in this is there is no layer, it's directly going to the end market and it's an export which otherwise a domestic sale to domestic factories.

So, I think all those market repositioning will happen. But otherwise, demand-wise, I think whatever we're producing will be easily absorbed in this market. We only have to focus on the costs, keep them in check, especially given the fuel impact.

Rushabh Shah:

Okay. And just a last clarification from my end, I believe so there is one more promoter entity called Midwest Gold. So, I just want to understand in terms of new business opportunities that both the entities will pursue independently. How do you see there understanding that all the see business related to say heavy mineral sands and Rare Earths will only be done by this entity and

the battery side will be done from that entity? Just want to understand the how does there you know, so that there is no conflict of interest of businesses.

Ram Kollareddy: No.

Rushabh Shah: Is there any -- so I'm not sure understanding.

Ram Kollareddy: Yes, yes, got it, got it. So, as far as battery-related business is there, we are nowhere in battery-related materials nor minerals. Midwest Limited is not there in that space in any way. And the second business of that entity is production of permanent magnets. So, they are on the -- they are on the front end. Today the problem of the country is two. One is production of the magnets which the PLI has come for, which is the business that they are in. And the second is how do you support these PLI units to produce oxides.

So, Midwest historically Midwest Limited being a mineral and processing company, we are sticking to our focus. The materials are changing, granite, Quartz, HMS or the Rare Earths. So, Rare Earth oxide is our product. Their product is a permanent magnet. So, there is absolutely no intersection or cross-section of products there. And the only prospect is today we are looking at oxides and that is that is a long way to go. And we'll be starting to build on that. Now they may need oxides in the future which they can buy in the market, they can buy from IREL, they can buy from overseas Lynas, they are -- and we can sell anywhere in the world.

So I think today oxides if you see, they are in huge demand globally. U.S. is willing to pay a premium to what the world is -- what China is offering. So I think it's a different basket. I don't see an intersection anywhere. And the way we see, there is at least in the next 3, 4 years there is absolutely there is no intersection -- there's no conflict. The products are identified, the scope has been clearly defined.

Rushabh Shah: Okay, sir. Thank you.

Moderator: Thank you. Next question is from the line of Majid Ahmed from PinPointX Capital. Please go ahead.

Majid Ahmed: Hello. Am I audible, sir?

Moderator: Yes, please go ahead.

Majid Ahmed: Yes, sir. So, my first thing that I was what percentage of energy requirement will be met through solar energy integration at the mines? Hello, sir, am I audible?

Dilip Kumar: Yes, yes, you're audible. See, we today most of our equipment is in is running on the fossil fuel. If we look at our history, we have about 1 megawatt solar plant up and running. And now we are also converting our equipment into EV trucks, especially trucks that we are converting as once I mean then car drills will be converted later. The conversion will further create a demand in terms of electricity rather on fossil fuel.

If we have an opportunity, we will try and buy everything from the renewable part. But now that will take little time because now we are also trying options of buying this energy from existing

captive solar plants and also parallelly building our own solar plants. So, this year probably we will be we have object clause on this, which is about 0.6 megawatt which we need to build. We are working on that. We are going to place orders shortly.

And not just addition of 0.6, we will be adding further capacity also. That's also under discussion. With that, the energy requirement of the company maybe to the tune of 10% is what we can I mean 10% of the energy requirement might be coming from the renewable front. And we have long way, we can we have an opportunity to convert that 90% also to maybe not completely 90% because some truck -- some diesel-based equipment will still continue, especially wheel loaders kind of stuff, heavy equipment. But the remaining equipment can be converted into EV.

Ram Kollareddy: Yes. To extend on that, so our total, let's say, on a cost basis our energy requirement is around 17% to 18%, out of which we are around right now we have got it down to 12%, 13% on fossil, balance predominantly on green. Now what Dilip was mentioning is another 10% which will convert of that this year. But overall, I think that is addressing the trucks.

We are also experimenting on excavators right now this year and I think by next quarter we'll give an update. That will be a big jump. That will also take away considerable into green. But whatever we can, we are able to do. But overall, I think the flip of more green and less fossil may happen in the next 2 years.

Uma Kollareddy: So, to add to the costs, though 13% is the cost and fuel has gone up very high and you know, we are facing an overall impact of about 4% increase in overall costs, 4% to 5%. We've managed to increase the price, renegotiate the price with the buyers, with the export buyers and we've increased the prices this year for the coming year by 4%.

And we assume the dollar also will support further. So, this is more than compensating for any fuel increase, much more than that. And in fact, like they said, they -- like we are converting our fleet to renewable and back integrating with solar. So, those efforts are going on even for large excavators where the Volvos and Kobelcos are coming with new introductions for electric-based excavators. So, we are compared to lot of the industry that is being heavily impacted with fuel, ours will be under full control coming quarter. We are confident on that.

Majid Ahmed: Okay. Thank you, ma'am, for the detailed answers. And ma'am, can you throw some light on the 30-year quarry lease work order that you got in Jan? Has the work started and what is the potential contribution to top line and bottom line?

Ram Kollareddy: The work has started and we already started producing. So, I think this specific site we are targeting to contribute around 10,000 to 12,000 CBM. That's our plan and that is being ramped up quickly. And that could that could result in a revenue of INR70 crores to INR80 crores from that mine. And yes, production already started. It's a neighboring block, so there is also a cost advantage being that we are also sharing some of the equipment with current operations on that. We are able to run it with minimum capex.

Majid Ahmed: Okay, sir. Sir, are there any plans for inorganic growth, acquisition or expansion into new geographies?

- Ram Kollareddy:** On granite right now, no, we'll look at opportunity-based, but right now I think as you see we got 1 mine now we're looking at something else in next quarter. So, I think we're looking at organic growth only and getting fresh concessions from the government.
- And Quartz also we have enough raw material and the plant is building up. And on Rare Earths, HMS, we will be focusing on Sri Lanka and any other projects that might come up in India itself. All these are tendered by government, so there are no private projects to acquire. So, given that, I think no. But if anything interesting comes in granite, we'll look at it, but most likely no.
- Majid Ahmed:** Okay, sir. That's all from my end, sir. Thank you. And all the very best.
- Moderator:** Thank you. Next question is from the line of Abhishek Mehra from DAM Capital Advisors. Please go ahead.
- Abhishek Mehra:** Yes. Hi. So, just taking a bit more on the Sri Lanka front. So, if I understand correctly, we have exploration licenses. So, have we transitioned to the retention stage if at all? And what are the renewals like? The reason why I ask this is new policy in Sri Lanka is under implementation and I think it's due for parliamentary approval. So, after that only they would be start providing -- they would be providing approvals, right? So, just wanted your understanding on it.
- Ram Kollareddy:** Yes. So, we have the exploration license that has to be -- we have submitted all the paperwork and documentation and we've done lot of work on other clearances to convert to mining license. So, I think as soon as this policy is set, that will be the next step is we get that mining license and then we start breaking the ground.
- Abhishek Mehra:** Okay. So, when are we expecting industrial mining license to get to get approved? I mean, are we at the retention stage? Because in retention stage what happens is we it's only a year after that we can have a have a renewal, right? If I'm not mistaken.
- Ram Kollareddy:** No, no, no. So, no. In Sri Lanka, there is no timeline like that, specifically because of the new policy, there is no specific timeline in the old policy as well. So I think once the government approves in June, I think July we should target getting that and parallely we have done lot of work, we can start building the plant as early as August post that. And it'll take about an year to build the plant, 9 months to 1 year to build the plant.
- Abhishek Mehra:** Okay, sir. Great. And secondly on the KMML front. So, since we have the pilot project, so what is the duration for this project that it would run and maybe when can we expect KMML to make it more of a commercial project?
- Ram Kollareddy:** So, it's a 6-month project and I think the start date of the project will be sometime in first week of July. There are some -- they need the land, they're giving -- they're allocating us some land and all that there about 4, 5 acres. All that will finish. And but we have started placing the order for the equipment, we started doing our work from our side. So, 6 months from then and then post immediately that because the once the plant is ready, we'll be -- so plant will be ready in 4 to 5 months post July. Then you keep about a month or 2 to look at all the data, with all the data, then all the -- the whole purpose of the plant is to look at the yields and look at the exact flow sheet. We'll be ready with that during this. It's an ongoing process.

Then immediately after that, we expect the state the government to continue and continuation of this to commercialize because their idea is to commercialize immediately. It's a huge value unlock for them. And due to transition of the government, they lost some time, but I think they'll try to make up time and we will also we're also eager to start as early as possible.

Now the commercial plant post that, let's say, your 8 months from now, the commercial plant and commercial plant post that will take around a year. And from then I think we will start the first oxides coming out of the plant.

- Abhishek Mehra:** Okay, sir. Great. All the best. Thank you. That answers my question.
- Ram Kollareddy:** Thank you.
- Moderator:** Thank you. Next question is from the line of Bhavik Shah from Choice Equity. Please go ahead.
- Bhavik Shah:** Hello.
- Ram Kollareddy:** Yes, hi.
- Bhavik Shah:** Congratulations for good set of numbers. I want to ask...
- Moderator:** Bhavik, your voice is very low, request you to please use your handset.
- Bhavik Shah:** Hello.
- Moderator:** Yes, please proceed now.
- Bhavik Shah:** So, I wanted to ask regarding the bidding for Quartz mines. So, there are lot of noise in this sector. So, are you bidding in with respect to Quartz mines and especially on which side of India, East, West, North, South?
- Ram Kollareddy:** Yes. So, Quartz is a bulk commodity and it is sensitive to logistics pricing. So, since our plant is based in Andhra in South India, our primary interest will be building up resources in South India and specifically maybe Andhra and Telangana more and also North Tamil Nadu closer to the plant. But there are not much many resources in North Tamil Nadu.
- So, given that, Andhra, Telangana we are focused. And second is Quartz post becoming a major mineral, so the government is still yet to come out with the framework for the tendering and auctioning. So, nothing has started yet in that post that last one year. And we are not in a hurry as well, we have enough reserves. So, as and when that happens, we will be ready to look at assets asset-to-asset specifically as long as it's meeting our criteria of scale and quality, I think we'll participate.
- Bhavik Shah:** Okay, sir. Thank you.
- Moderator:** Thank you. Next question is from the line of Nikhil Gupta from Vaayu Capital. Please go ahead.

- Nikhil Gupta:** I hope I am loud and clear. So, my first question is on the investor deck. You have stated that your long-term 3 to 4 years vision is to have the top line growth of 2.5x. So, can you tentatively give the breakup? I mean, what will the tentative contribution will be from granite, Quartz or Rare Earth?
- Ram Kollareddy:** You mean in the next 4 years, right?
- Nikhil Gupta:** Yes. Yes. You mentioned the 2.5x top line growth.
- Ram Kollareddy:** Yes. Yes. So, granite -- if you look at granite, we'll be tracking that year-on-year growth of 10% to 11%, 12%. Even this year we produced that much, but as Dilip mentioned, we had a logistics issue in the last week of March, specifically because post war, once the war has started February end, the logistics pricing increased and there was a cost impact which we didn't want to take specifically. And that has cooled down now.
- So, I think that given that, we'll fall -- we'll be -- we're confident of achieving that 10%-12% organic growth in granite. So, in 4 years' time, 3 to 4 years' time, wherever that number takes us. Then the on Quartz in the next 3 years, I think 2 phases is what we have to consider plus HPQ. Now that could give top line of close to around INR400 crores. That is the number we are looking to target.
- Now the HMS in Sri Lanka, which will be operational by then, will give another INR350 crores to INR400 crores. And that is on Phase 1. We have a option to build further, but I think that is what we should take.
- KMML project once it's commercialized, I think there also we're looking at a revenue of close to INR200 crores. So, basically, if you look at the overall thing at that point of time, you're looking at INR1,000 crores in granite, then about INR1,100 crores around that from these 3 projects that we just mentioned.
- Nikhil Gupta:** Okay. And the last question is on the follow-up from the previous participant where the question was more on the other entity which was making magnets. Can you give the scale of that particular business? And are promoters running that business or there is some other family business? I'm not sure, just asking for the clarity.
- Ram Kollareddy:** So, that is a separate management. We don't know the exact production numbers there. It's a common promoter, but separate management altogether. Yes, they're in the business of making permanent magnet and BSS.
- Nikhil Gupta:** What would be the scale of that business?
- Ram Kollareddy:** Pardon.
- Nikhil Gupta:** What would be the scale of that business?
- Ram Kollareddy:** So, in terms of scale, right now there is -- as far as I know, there is they're just building out the plant right now. So, I don't -- we don't have exactly the numbers what scale they're building and

also I think they're exploring PLI, lot of things happening there. But right now I don't have the exact number of what scale they are.

Nikhil Gupta: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Arvind Mahadevan from Equiventures Capital Advisors. Please go ahead.

Arvind Mahadevan: Good afternoon. Am I audible?

Moderator: Yes, please go ahead.

Arvind Mahadevan: All right. Thank you for the opportunity. Sir, I would like to know what was the volume of Quartz for Q4 alone?

Dilip Kumar: Q4, we did about turnover of INR1.8 crores. Volume is 1,000, 1,200 because, no, we produced some, I mean, 3,000-4,000, but, no, due to some quality issue, because of the plant technical issues, they we couldn't process right product and we had to reprocess it. But, no, as far as sale is concerned, we did about 1,000 plus tons.

Arvind Mahadevan: Understood. Understood. Sir, any progress with regards to our subsidiary in Sierra Leone?

Ram Kollareddy: Subsidiaries?

Arvind Mahadevan: In Sierra, in Africa, the subsidiary that we set up last in the last quarter. We set up an office, right, in the last quarter?

Ram Kollareddy: Yes, yes. Yes, we opened a company there. There is no specific progress in the last few weeks. We're just studying a few concessions. Our team has spent enough time there. I think during the next quarter we will try -- we will have some update on that. But right now there is no update.

Arvind Mahadevan: Okay. And my final question with regards to HMS, particularly in India, whom do you think is your direct competitor as such?

Ram Kollareddy: HMS today only government entities are producing, IREL, KMML. And once it's privatized, there'll be private and it's a long coast, so there are lot of from the starting of Odisha to Kerala, we are envisaging lot of projects coming up in the next decade, 10 years. Now obviously different companies will have different interests. But I think since we have started this vertical and we have lot of knowledge, we have team, I think we will have an advantage there as a company.

And obviously our goal is to become at least top 3 producers in India, private companies in that space. And but I think there is enough material, enough business and enough market in this regard. So, I think we will only focus on our edge and our growth.

Uma Kollareddy: Plus we are the first ones to put up our pilot plant in in the country in for KMML. So we'll be the, first person to -- we have the first right of refusal for a plant there in, so when you -- when the tenders are being floated, lot of weightage will be given for the first person to attain that kind

of knowledge. And these are licenses which are 30 years or 25 years renewable licenses, long-term licenses once you attain the business.

Arvind Mahadevan: Okay. Fair enough. And last, last, final question. So, we have lot of monazite deposits in Tamil Nadu and Andhra as well, right? So, if the government plans to extract that as well, do we stand a chance particularly in Andhra Pradesh because we have an home advantage over there?

Uma Kollareddy: Yes. So, Andhra we are, you know, been working there for a very long time, more than for since inception. So, and plus we will already have the probably we'll be the only ones with knowledge of dealing with Rare Earths and with heavy mineral sands coming from Kerala. So, we will be definitely participating in it and definitely bidding the moment they open up the tenders.

Ram Kollareddy: So, just to give a clarification, you can't go and mine monazite on standalone basis. When you mine the beach sand, you remove the heavy mineral other heavy minerals, then monazite becomes a byproduct. Then when you refine monazite, thorium becomes a byproduct. So, it's a chain.

So, when the government wants to commercialize the whole thing, first they have to tender the HMS blocks, beach sands, then you -- then they need a company or private company like us or others to extract that, separate that, like how we plan to do in Sri Lanka, then produce your ilmenites, rutiles, which becomes market, then ilmenite we can also convert to slag, which is also we'll be looking at further value addition there for example. Then the monazite that comes out of it is a separate know-how all together to take out the oxides from it.

Arvind Mahadevan: All right, sir. All right, ma'am. All right, sir. Thank you. All the best. That's all from my end.

Moderator: Thank you. Next question is from the line of Anant Sarda from Chhattisgarh Investment Managers. Please go ahead.

Anant Sarda: Hi. Thank you for the opportunity. Sir, is the Phase 1 capacity 0.3 million or is it 0.25 million tons, sir? And what is the maximum capacity utilization of the Phase 1 Quartz?

Ram Kollareddy: So, the installed capacity is 300,000, but usually we consider 80% as a benchmark. So that comes around 240,000 to 250,000 tons. And that once we produce that, we know that this plant has achieved its peak optimal capacity. And yes, sorry, what was the other question?

Anant Sarda: And sir, no, no. You have answered it. So, this year you've given a guidance of 60% of 0.3 million tons, right? Or 60% of 0.25 million?

Ram Kollareddy: No, no. 60% of 2.5. So, 1.5 lakhs.

Anant Sarda: Okay. Okay. And out of the other product that you get from the Quartz plant, how much is the engineered stone and how much is used for the solar glass? Like a kind of a simple bifurcation like in terms of rough percentage, that would do.

Uma Kollareddy: So, like we've already mentioned, we will tweak the product based on market traction. So, if we find that the Middle East the plants are getting delayed or engineered stone is now currently we are planning for 70% engineered stone, 30% solar glass. But in case we want to, you know, we

have some ready customers who want to give us a better price for solar and we're getting volumes there which will set us for Phase 2, we might tweak it a little bit.

So, we are open to seeing because the plant is tweakable and the plant based on the market we will do. But general guidance is the plant Phase 1 has been set up for 70% engineered stone, which is priced between 9,000 to 14,000 ex-factory price, and 30% solar glass, which currently we're getting about 7,000.

Anant Sarda: So, ma'am, and the same can be expected in Phase 2 as well, right? With the 0.3 million or 0.25 as the maximum.

Uma Kollareddy: No. So, Phase 2, the capacity is again 300,000 tons. Again, we are expecting to get 250,000 tons. And because of learnings from Phase 1, the idea is that we reach that capacity utilization faster than in Phase 1. And Phase 2, the production is a flip with 70% solar glass and 30% engineered stone.

Anant Sarda: Okay. And last question is regarding the PLI scheme. Last in the last con call we spoke like, you know, we might participate in the PLI scheme for magnet manufacturing. So, like as sir said that, you know, we will be mainly be doing oxide manufacturing in Midwest and Rare Earth in Midwest Gold.

So, are we partnering with the sister company to get the whole value chain because the PLI is only for, you know, from entire value chain from oxide to metal to alloy to magnet? So, are we -- how will we participate in the PLI scheme if we are only doing till the metal stage?

Ram Kollareddy: Yes. So, on the PLI, we have done some work, we're still doing some work on what the strategy is going to be. But the broad findings are there are going to be 5 PLI companies which produce close to 1,200 tons per year, which is amounting to 5,000 to 6,000 tons of magnet, right? Now these companies will need around 2,500 to 3,000 tons of oxides. Now India today IREL is producing 400. So, still we have a huge gap covering just PLI.

Forget about any companies which are producing magnet on non-PLI basis also in next 3, 4 years. So, I think the biggest gap we are seeing is in this production of oxides. I think that is where our focus is primarily going to be. And in terms of capital intensity, the magnet plant is highly capital intensive. The investment required for a 1,000 ton or 1,100 ton plant is upwards of INR1,000 crores, close to INR1,200-1,300 crores in terms of overall investment.

And the margins on that will depend on the input price primarily. Today the support price given by government based on the market price on INR2,150 per kg what they fixed, it's close to around 18%-20%, but this reverse bidding mechanism, we don't know where that will end. That will definitely be lower.

So, given that the biggest impact on margins is going to be the raw material feed, number one. And second, even with an investment of INR1,000 crores, if you're doing a magnet of INR1,000 crores, the revenue at current magnet prices will be INR500 to INR600 crores, which is half the value of the capex. So, given all these numbers, we're studying.

Yes, now it is it is good for any company to go forward validation, but at what cost of growth and if that is the only way to go. So, for example, if we are already imagine a situation we're already producing 1,500-2,000 tons of oxides in next 3, 4 years as a company, and the next only way of growth is going to be production of magnets, then yes. But today being full with all these projects and so we're seriously looking at how to how strategically how to play this.

But I think we will definitely have an update, when we have a material update we'll update you. But by next quarter definitely we'll have a clarity on this specific PLI and also long-term plan of the company in this space. But right now, I think all the pointers are towards one direction, we need more and more oxides, the world needs more and more oxides. It's a niche space that we are in and lot of unlock is happening in India. And I think that is where all our energy and capital should be focused right now.

And PLI will be -- we are studying seriously, but how to once we get clarity at our -- we're also looking at our cash flows, our next one year budgets and all that. I think post that we'll give an update.

Anant Sarda: So, sir, you know, with the Kerala the mining association, you know, I'm forgetting the name, there you're investing INR20 crores with them. So, there you are just investing for production of oxides or are we doing something in the value chain to make a magnet?

Uma Kollareddy: No, it is production of oxide. The pilot plant is specifically restricted to production of oxide and this is a mobile plant. So, in the entire INR20 crores that we are spending there, it's mobile post proving the process and getting the process right, we would idea is to shift it to Sri Lanka.

Anant Sarda: Okay. Okay. Thank you. Thank you so much for clearing my doubts.

Moderator: Thank you. Next question is from the line of Jayant Raghavan, an Individual Investor. Please go ahead.

Jayant Raghavan: Yes. Hello. Good afternoon. Am I audible?

Moderator: Yes, please go ahead.

Jayant Raghavan: Yes. In the financials, in the segmental reports, in the granite sales, I am seeing a dip, you know, from INR226 crores to INR214 crores. The top line has dipped by around INR12 crores and the same effect is seen even in the segmental profit for the granite division. So what exactly drove a de-growth in the granite business? Is it the selling price, is it volumes?

Dilip Kumar: Quarter-on-quarter you are seeing 230 versus 215? I mean, corresponding quarter?

Jayant Raghavan: No, year-on-year corresponding quarter, corresponding quarter year-on-year. So, March 2025 was INR226 crores and March 2026 is INR214 crores. So, there's a dip of around INR12 crores.

Dilip Kumar: No, no. You are looking at a stand-alone number. Overall number, consolidated number, it is INR645 crores granite.

- Jayant Raghavan:** No, no, I'm talking only about the granite. If I see your segmental revenue, that is Page 18, consolidated segmental information in the P&L. In that, if you see the quarterly numbers, the March 2025 quarter was INR226 crores for granite business only. And this year, March, it is showing INR214 crores. So there is a dip of around INR12 crores.
- Dilip Kumar:** Yes. Quarter-wise, yes. That's the question I have asked. Quarter-wise, yes. And overall number for the year, it is INR645 crores granite versus INR626 crores.
- Jayant Raghavan:** Yes. So, what is the reason for the dip quarter-on-quarter?
- Dilip Kumar:** Quarter-on-quarter if you look at we've explained this in the previous questions. We have produced, but in the last week of March and last 10 days of March, there was some logistics issue because of the war. Because the logistics prices have gone up and the availability of the ships was also little difficult. That's the reason why we couldn't ship out the goods to the tune of 3,000 plus CBM, which could have added revenue to the tune of INR25 crores.
- Jayant Raghavan:** Okay. Okay. So, next year what do we expect in terms of revenue if everything goes smooth?
- Dilip Kumar:** 10% to 13% is the consistent growth is what we are expecting on the Granite segment. We have witnessed little better growth in the previous years, but no, on the pessimistic side, if we estimate the number also, 10% to 12% is the number growth is what we can see.
- Jayant Raghavan:** Okay, fine. Thank you for this.
- Dilip Kumar:** Thank you.
- Moderator:** Thank you. Ladies and gentlemen, we'll take this as the last question for the day. I now hand the conference over to the management for the closing comments.
- Ram Kollareddy:** Thank you everyone for taking out time and joining the call. And hope we could answer most of your queries satisfactorily. And look forward to meeting you for the next quarter call. Thank you.
- Moderator:** Thank you so much, sir. On behalf of Go India Advisors, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.